MZUZU UNIVERSITY

FACULTY OF INFORMATION SCIENCE AND COMMUNICATIONS

DEPARTMENT OF INFORMATION SCIENCE

Bachelor of Library and Information Science

END-OF-SEMESTER EXAMINATION (October 2017 – February 2018 SEMESTER)

BISC 4702 Entrepreneurship

DATE: Wednesday, 14 February, 2018 (2:00 – 5:00 pm) **TIME ALLOWED: 3 Hours**

READ THE FOLLOWING INSTRUCTIONS VERY CAREFULLY:

i. Answer **ALL** Questions
ii. Use Appropriate Grammar and Language (No American English)
iii. Write Neatly. Dirty Work May Attract Loss of Marks
iv. Present Your Work in Well Organised Paragraphs
v. Each question MUST Start on a Fresh Page

Read the following article:

Entrepreneur Takes Black-Oriented Site Out of Red

By LYNDA RICHARDSON (New York Times)

A friend recently marveled to Omar Wasow, 31, executive director of BlackPlanet .com, explains why BlackPlanet.com is, by far, the most heavily trafficked African-American Web destination, with 1.5 million different visitors in any given month, according to the Nielsen/NetRatings service.

"People didn't believe there was a business to be serving African-Americans online," he says. "And to the extent that business was there, they were convinced `Why would a start-up succeed when you've got all these big media companies doing the same thing?'

So, What Accounts for BlackPlanet's Popularity?

"What we've done is taken the grapevine in the black community and extended it to the Internet," he says. Mr. Wasow, is a Stanford graduate, was Oprah Winfrey's on-air technology expert and the Internet analyst for WNBC-TV, a job he held at cable television's MSNBC for five years. He's clearly at ease as he sits at a conference table in a quiet corner. He says his own office is no man's land, a temporary storage closet for the 85-employee Community Connect, where he is also a senior manager. He enthusiastically points out the features of BlackPlanet.com: the message boards, chat rooms, personal Web pages and, more recently, a chance to find romance and jobs.

The Home Page Constantly Tells Visitors How Many Have Logged On To The Site.

"The essence of it is the social aspect," he says. "What it means is that this site is alive. There's hustle and bustle. There are living and breathing people at the site. Most of the other sites feel like being alone in the library. We've built ourselves from the ground up to be much more like a cafe than a library. We focus on the conversation." Mr. Wasow is known as a digital-age intellectual, also hip and unconventional. A founder of a charter elementary school in Bedford-Stuyvesant set to open next fall. "The real way to help poor kids succeed in the information economy is to teach them to process information in their own heads effectively, not use word processors and spreadsheets," he says.

Mr. Wasow's background is middle-class and biracial. His father, an economics professor, is Jewish, and his mother, an early-childhood educator, is African-American. He grew up mostly in Greenwich Village, and went online at age 12. He had tried a similar Web site in 1993, financed through credit cards and savings and operated from the living room of his Boerum Hill, Brooklyn, apartment. He says too few black Internet users existed then to support it. But in the last five years, he says, blacks have embraced the Internet at a faster rate than whites.

Having read the article, attempt the following questions:

1. With evidence from the passage, discuss a revolutionary innovation of Mr. Wasow. **(10 Marks)**

2. Discuss his entrepreneurial environment in relation to Society and Family that enabled him to start up his business. **(10 Marks)**

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Read the article below:

Women Entrepreneurs Taking Charge: But Seed Capital, Access to Expertise Remain Obstacles

By KEITH GIRARD *(from the Guardian)*

Today, Rosie Maldonado, 30, is president of Star Candie Productions in New York, a fledging marketing and production company that she founded last year and now runs out of her apartment in Harlem. In many ways, she's representative of one of the most explosive trends in small business.

Starting from Scratch

"A majority of women business owners started their businesses from scratch, as opposed topurchasing, inheriting, or acquiring them," said Rebecca Macieira-Kaufmann, an executive at Wells Fargo, which sponsored the study.
Moldonado fits the mold. Her business grew out of volunteer work for such organizations as the New York International Latino Film Festival, the annual Puerto Rican Day Parade in Manhattan and the Miss Puerto Rico beauty pageant.

"I've always supported a lot of different things," Moldonado said. "I volunteered at events, did fundraising and solicited in-kind sponsorships, things like that." She also built and important network of contacts and met a lot of talented Latino artists, from budding fashion designers to up-and-coming singers and musical acts. She began approaching different clubs in New York to put on shows to help promote the work of some of her friends. The shows were hugely popular among young, professional Latinos – a growing market that was just coming to the attention of major corporations.
When she approached Mars Inc. to sponsor one of her events, the multibillion-dollar candy and food company was more than willing to take a chance. She prepared a marketing proposal and pitched it to Mars. The company liked what it saw, and gave her $145,000 to fund the proposal. Star Candie Productions was born.

Doubling Revenue

She projects that revenue in 2003 will more than double the previous years' and exceed $600,000.

"I just started taking a salary this year. I'm working a lot of hours and working even harder to get financing," said Maldonado. Fortunately there is plenty of help for women entrepreneurs. Maldonado just finished lining up a $20,000 seed loan from the Women's Venture Fund in New York to provide working capital and expertise.

Indeed, women who go into business for themselves can tap into an elaborate support network. Public as well as and private-sector programs encourage startups by women and support them once they open their doors for business. The trend also has been helped along by a number of federal and state programs that encourage women and minorities to start their own businesses and provide support once they get up and running. But more recently, the private sector has become increasingly involved.

Seed Capital

As Maldonado's experience shows, however, if there is any area where women-owned firms are still facing significant obstacles it's in the critical area of seed capital. Venture capitalists distributed about $73 billion annually before the market downturn.

Although women-owned companies are growing in number, misconceptions about their businesses – and their savvy – may be restricting their access to startup funding. The Center for Women's Business Research found that women are hampered by the perception that they lack the educational credentials to start a business. Yet, among women business owners, 49 percent had graduate degrees. Of those, 18 percent earned MBAs. Women were also thought to run largely hobby-related ventures, when in fact, their businesses ran the gamut. There's an adage among venture capital firms that they're always looking for the next Bill Gates. Perhaps, a more appropriate search should also include the next Rosie Maldonado.

Having read the article, attempt the following questions:

3. Maldonado did not purchase, inherit or acquire her business venture despite volunteering to work at events. If she were to franchise, discuss two advantages of franchising to the franchiser. **(10 Marks)**

4. You are an entrepreneurial advisor to Maldonado and you have asked to write a business plan for her. Elaborate on information which you will include in the following areas:

a. Introduction **(5 Marks)**

b. Problem Statement/Opportunity **(5 Marks)**

c. Current Technology **(5 Marks)**

d. Future Products and Services **(5 Marks)**

5. Maldonado prepared a marketing proposal to Mars Inc. and was funded with $145,000.00. In relation to the Venture Capital Financing, discuss the following:

a. Seed Capital **(5 Marks)**

b. Second Stage **(5 Marks)**

c. Third Stage **(5 Marks)**

d. Bridge **(5 Marks)**

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Read the article below:

Starting Up: Doing It Wrong; Doing It Right

by MARC FLEURY *(http://www.entreworld.org/Content/EntreByline.cfm?ColumnID=509)*

In the late 1990s, while working as a sales engineer at Sun Microsystems, I decided that I wanted to do something more technical, more on the programming side of things. I was interested in developing an application server, a program that manages the applications for an enterprise, using Java, a Sun programming language with which I was familiar. "Open Source," whereby a developer licenses the code to users at no cost, was just coming into its own at the time. Users could run the program, and access the source code or even modify it, at no charge. Given the business climate at that time, I felt that there was a good likelihood of finding venture capitalists to fund the project.

The prospect of working for myself was also appealing. I had a friend who felt the same way, so together we founded Telkel, Inc. in the fall of 1999. I was the chief technology officer, while my friend, who had a financial background, was chief executive officer, in charge of pitching our product and company to potential investors.

Adopting the Business Model Du Jour

My partner and I developed a business model, which consisted of building an application hosting business on top of JBoss, our Java application server. Hosting applications, or running programs on our server for a fee, would provide the revenue for our company. Two problems quickly became apparent when we approached VCs with our plan. The first was that we had no credibility in the application hosting business. We had strayed from our core competency, which was developing the technology, and jumped on the application hosting bandwagon because it was the only business model we could come up with for making money on it.

The second problem was that our product reached its first stage of maturity in the spring of 2000. Up to this point, we had funded the development ourselves so that we would have a viable product with which to approach investors. At this point, we had a great product but no revenues. Since the product is free, we had users but hadn't figured out what we could sell them. Meanwhile, we were carrying significant overhead for salaries, office space, and equipment. The money ran out, and the company folded in November 2000. My partner and I parted ways.

I had a very strong belief in JBoss, the application server that was the core product, and, unlike the money people, I believed in open source. I had also really enjoyed being my own boss. In short, I just wasn't ready to give up yet on a company of my own. My first company had failed, but I had still awakened the next day. If I gave it another shot, I felt fairly confident that I would still be able to find a salaried job in the tech industry if the entrepreneurial experience didn't pan out. Thus, in approaching my second venture, I took a good, hard look at what went wrong with my first, and segregated those factors that were within my power to change. The product wasn't the problem.
The macroeconomic environment was wrong – VC money had evaporated almost overnight. Tech companies had fallen out of favor. I couldn't change either of these things, but there were some things that I could change.

I decided that the company had to turn a profit from the start. I had to keep revenues ahead of expenses at all times. I would not seek VC money this time – the environment wouldn't allow it. Since I had already lost my savings, I had to make money on my venture from the get-go. I had no choice.

Find Good Collaborators

I became a consultant in computer and web management. As training took off, I began to get requests for support, consulting and documentation as well. For the first half of 2001, I worked as an independent consultant, but it soon became apparent that I would need to find people to work with me if I wanted to exploit the opportunity I had. In August of 2001, I formed JBoss Group LLC, in order to provide training, support and consulting services by the programmers who were most familiar with the product.

In order to accommodate the needs of the very best programmers, I developed an employment model where developers work half time developing the free, open source product and half time providing associated services.

We've since moved away from this model a little, as the success of the company now allows us to offer programmers a minimum salary guarantee, with an upside based on the amount of consulting work they do. This method provides customers with access to people with the highest level of product knowledge. Everybody wins, yet developing this strategy also required some 'thinking outside the box' to come up with a scenario that made sense. I found that working from the bottom up - building the product, going after the business – is better than working from the top down - looking for the money first to fund a raw idea.

Having read the article, answer the following questions:

6. Discuss the feasibility study the entrepreneur carried out in areas of:

a. Product Profile **(5 Marks)**

b. Self Analysis Profile **(5 Marks)**

c. Industry/Market Profile. **(5 Marks)**

7. JBoss had actually perceived a risk in business venture. With reference to the passage, discuss the following:

a. Intangible Risk **(5 Marks)**

b. Process Management Risk **(5 Marks)**

c. Relationship Risk **(5 Marks)**

End of Question Paper